LONG THESIS · MACRO · COMMODITIES · GEOPOLITICS

The Hormuz Doctrine: The Oil Majors Long Thesis

The Strait of Hormuz is closed. Iran's Supreme Leader is dead. 20 million barrels per day are stranded. Iraq's output is down 70%. Qatar has declared force majeure on LNG. This is not a risk premium event — it is a real supply destruction. Here is the case for a disciplined leveraged long in XOM and CVX over the next 10 months.

WTI (MAR 10)	BRENT PEAK	IRAQ PRODUCTION	SHIPS STRANDED	NWC POSITION
~$83	$126	−70%	150+	LONG
▼ −12% today (false signal)	▲ Since Feb 28	1.3M bpd (from 4.3M)	Outside strait	DCA · 1:3–1:5 · 10mo

The Hormuz Crisis — What Actually Happened

On February 28, 2026, the United States and Israel conducted joint military strikes on Iran, including the killing of Supreme Leader Ali Khamenei. Iran retaliated immediately — launching missile and drone attacks on US military bases, Israeli territory, and Gulf states. The IRGC issued warnings prohibiting vessel passage through the Strait of Hormuz, and within 48 hours tanker traffic had dropped approximately 70%, with over 150 ships anchoring outside the strait. By March 2, an IRGC commander officially confirmed the strait was closed and threatened to set ablaze any vessel attempting to transit.

This is not a geopolitical risk premium. **This is physical supply destruction in real time.** The strait carries approximately 20 million barrels of oil per day — roughly 20% of global seaborne oil trade and 20% of global LNG supply. Major container shipping companies including Maersk, CMA CGM, and Hapag-Lloyd have suspended all transits. Insurance withdrawal has done the work that a physical blockade has not — the outcome for cargo flow is the same.

DATE	EVENT	OIL IMPACT
Feb 28	US-Israel strikes Iran · Khamenei killed	**Brent surges**
Mar 1–2	Zero commercial ships in strait · IRGC closes Hormuz	**Supply disruption real**
Mar 2	Qatar halts LNG output · Force majeure declared	**EU gas +63% in one week**
Mar 4–8	Iraq production −70% · Brent peaks at $126/bbl	**Peak panic pricing**
Mar 10	Energy Sec. Wright falsely claims Navy escort · WH denies	**WTI −12% to ~$83 (false signal)**

⚡ TODAY'S −12% DROP IS THE ENTRY SIGNAL

WTI fell 12% today on a single false social media post from the Energy Secretary — a claim the White House denied within hours. **No tanker has transited. No ships are moving. Iraq is still at 1.3M bpd. Qatar is still offline.** Nothing in the physical supply picture changed. The market repriced on a verbal intervention that turned out to be false. This is the reflexive loop in action — and it is the DCA entry point your thesis was built for.

Why This Does Not Resolve Quickly

Markets are pricing in a quick diplomatic resolution. Bob McNally of Rapidan Energy Group noted on March 10 that "there's a lot of optimism in the market" — and that optimism is exactly the mispricing this thesis exploits. The political, operational, and infrastructural realities of the Hormuz crisis make a rapid resolution structurally unlikely.

FACTOR	WHY IT TAKES TIME	TIMELINE
Political	Khamenei dead · new Iranian leadership forming · no negotiating counterpart	Months to years
Insurance	War risk premiums at 6-year highs · insurers won't return until 100% safe	Weeks after ceasefire
Qatar LNG	Entire plant never taken offline before · weeks to restart after safety	Weeks minimum
Iraq Output	Storage at capacity · upstream destruction · needs export route to restart	Months
Alternative Routes	Saudi East-West pipeline (7M bpd) · UAE Fujairah pipeline · partial offset only	Limited capacity
SPR Release	IEA 1.2B barrel reserve · G7 preparing scenarios · temporary at best	Days of cover only
Administration	Current US administration unlikely to resolve before January 2027	10 months horizon

> *"Traders assumed for decades that no country would be allowed to shut the Strait. The fact that it has happened at all is completely calamitous and unexpected." — Bob McNally, Rapidan Energy Group*

The IEA has been called to an extraordinary meeting to discuss emergency stockpile release — a signal that the disruption is being treated as a structural crisis, not a temporary spike. Emergency releases are typically 30–60 day bridges, not solutions. **The thesis horizon of 10 months encompasses the full duration of realistic disruption under the current administration.**

XOM & CVX — The Fundamental Case

ExxonMobil and Chevron are not pure-play crude price bets. They are vertically integrated energy majors with refining, chemicals, LNG, and upstream production — meaning they benefit from both the oil price spike and the supply chain disruption simultaneously. Their balance sheets were rebuilt post-2020 specifically to withstand low oil environments, which means at $80+ WTI they are generating exceptional free cash flow.

EXXONMOBIL (XOM)

Largest US energy company by market cap. Permian Basin production growing. Guyana deepwater expanding. Pioneer acquisition ($60B) added ~600K bpd of low-cost Permian production. **Dividend: ~3.4% yield.** Breakeven: ~$35/bbl. At $83 WTI generates massive FCF. Refining margins also elevated on product supply tightness.

CHEVRON (CVX)

Strong Permian + Kazakhstan Tengiz expansion. LNG exposure via Australia. **Dividend: ~4.1% yield.** Breakeven: ~$50/bbl. Lower leverage than XOM, strong buyback program. Hess acquisition added Guyana exposure. Both companies have guided for capital discipline — no capex blowout even at high prices.

Why Equity Majors Over Pure Oil Futures

VEHICLE	LEVERAGE TYPE	DECAY RISK	INCOME	10-MONTH FIT
XOM/CVX + Margin	1:2–1:3 on equity	**None**	**Dividend cushions carry**	**Excellent**
UCO (2× ETF)	2× crude	**High — daily reset**	None	**Poor for 10 months**
WTI Futures	Clean leverage	Roll cost	None	Requires active mgmt
Deep ITM Calls XOM	Built-in leverage	Time decay only	None	Defined max loss

✓ THE DIVIDEND ADVANTAGE

XOM yields ~3.4% and CVX ~4.1% annually. On a 1:3 leveraged position held 10 months, the dividend income partially offsets the margin carry cost. You are being **paid to wait** while the thesis plays out — a structural advantage that pure commodity trades do not offer.

The Leveraged DCA Framework — 1:3 vs 1:5

The core thesis is a 10-month window aligned with the current administration's timeline. DCA into a leveraged position means each entry averages your cost basis while the thesis develops — and the March 10 false-signal selloff of 12% is precisely the kind of entry opportunity this strategy is designed to exploit.

1:3 LEVERAGE — RECOMMENDED	
Exposure per $1 deployed	$3 of position
10% XOM move	+30% on capital
Overnight gap −8%	−24% on capital
Margin call threshold	Manageable with DCA
Suitable for	10-month hold · DCA
Verdict	✓ Thesis-appropriate

1:5 LEVERAGE — AGGRESSIVE	
Exposure per $1 deployed	$5 of position
10% XOM move	+50% on capital
Overnight gap −8%	−40% on capital
Margin call threshold	Tight · gap risk high
Suitable for	Short-term only · max 5%
Verdict	⚠ Size very small

The DCA Entry Logic

Do not deploy all capital at once. The thesis has a 10-month window — use it. Each major headline-driven selloff (like today's −12% on a false Navy escort claim) is a DCA entry. Each geopolitical re-escalation is a confirmation. The goal is to build the full position across 4–6 tranches, averaging into the disruption.

TRANCHE	TRIGGER	SIZE	RATIONALE
1 — Now	Mar 10 false-signal −12% selloff	25% of allocation	Mispriced on verbal intervention
2 — April	SPR release announced · price dips	25% of allocation	30–60 day bridge, not a solution
3 — May/Jun	False ceasefire signals or diplomatic noise	25% of allocation	Structural disruption unchanged
4 — Flex	Any sharp pullback on headline risk	25% of allocation	Reserve for best entry opportunities

Position Sizing & Risk Management

Leverage amplifies conviction — it also amplifies mistakes. The disciplined framework below is designed to keep the thesis alive through the inevitable false-signal volatility without being shaken out before the thesis resolves.

CORE SIZING RULE

At 1:3 leverage: Size the total leveraged exposure so that a −33% move in XOM/CVX from your average entry does not wipe more than 15–20% of total portfolio. This means the underlying equity allocation before leverage should be 5–7% of total savings.

At 1:5 leverage: No more than 2–3% of total portfolio in underlying before leverage. The gap risk on a geopolitical surprise (ceasefire announced overnight) is real — 1:5 on a 5% position means a −20% gap wipes the entire allocation.

Risks to the Thesis

RISK	PROBABILITY	IMPACT ON POSITION	MITIGATION
Rapid ceasefire / Hormuz reopens	**Low–Med**	−20–30% on XOM/CVX	DCA keeps avg cost low
SPR release crushes prompt price	Medium	Temporary −10–15%	Use as tranche 2 entry
Global recession · demand destruction	Low–Med	Offsets supply spike	Dividend income buffer
False verbal interventions (like today)	**High**	Entry opportunities	Welcome — DCA into them
Alternative route scale-up (Yanbu)	Low	Partial offset only	Max 7M bpd vs 20M need

⚠ THE ONE RISK THAT ENDS THE TRADE

A genuine, verified ceasefire with confirmed tanker transit resumption would materially change the supply picture. This is different from verbal interventions or false claims. Monitor Kpler vessel tracking data — actual tankers moving through the strait, not headlines. If 50%+ of pre-crisis traffic resumes over 5 consecutive days, re-evaluate position sizing.

Three Scenarios — 10-Month Horizon

SCENARIO	PROBABILITY	WTI RANGE	XOM/CVX MOVE	1:3 RETURN
Bull — Prolonged closure	45%	$110–$140	+35–60%	+105–180%
Base — Partial re-open, slow	40%	$85–$110	+15–35%	+45–105%
Bear — Rapid resolution	15%	$65–$80	−10–20%	−30–60%

The 10-Month Timeline

Mar–Apr 2026 · Phase 1: Build

Strait closed. Iraq at 1.3M bpd. Qatar offline. Market volatile on political noise. False signals create entries.

→ **Deploy tranches 1 & 2. Size: 1:3 recommended.**

May–Jul 2026 · Phase 2: Hold

SPR releases buying temporary relief. Iran leadership still forming. No credible negotiations yet. Supply tightness structural.

→ **Hold. Deploy tranche 3 on any SPR-driven dip.**

Aug–Oct 2026 · Phase 3: Monitor

Watch for Kpler data on actual transit resumption. Election cycle beginning. Any diplomatic overtures likely after administration begins to feel economic pressure.

→ **Reassess leverage level. Consider reducing 1:5 to 1:3 if volatility spikes.**

Nov–Jan 2027 · Phase 4: Exit Window

Administration transition creates diplomatic reset opportunity. This is the natural thesis resolution window. Begin planning staged exit.

→ **Reduce leverage first. Exit in tranches as transit data confirms resolution.**

Global Impact — Who Gets Hit Hardest

The Hormuz closure is not primarily a US problem — it is an Asian crisis. 84% of crude oil and condensate shipments through the strait were destined for Asian markets in 2024, with China, India, Japan, and South Korea accounting for approximately 70% of all flows. This creates a secondary thesis: the disruption strengthens the competitive position of non-Gulf oil producers — including US shale — and specifically benefits XOM and CVX as Permian producers with no Hormuz exposure whatsoever.

REGION	HORMUZ EXPOSURE	IMPACT
Japan / South Korea	~95% Middle East oil	**Critical — SPR release requested**
India	60% oil + 53% LNG from Gulf	**Dual physical + financial shock**
China	~40% oil imports via Hormuz	Exposed but pivoting to Russia
Europe	12–14% LNG from Qatar via strait	Gas +63% last week
US (XOM/CVX)	Permian — zero Hormuz exposure	**Beneficiary — premium pricing**

The Verdict

The Strait of Hormuz is closed. 150 ships are anchored outside it. Iraq is producing 1.3 million barrels per day instead of 4.3 million. Qatar has declared force majeure on LNG. The Energy Secretary posted a false claim about a Navy escort and WTI dropped 12% in a single session on nothing but words. **That 12% drop is the entry point your DCA strategy was designed to find.** XOM and CVX have zero Hormuz exposure, 3–4% dividend yields cushioning carry costs, and structurally low breakevens. At 1:3 leverage, DCA across four tranches over 10 months, sized at 5–7% of total portfolio in underlying — this is the thesis, this is the position, and the clock started February 28.

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